

Effects of Digitalization on Consumer Choice

- IT 250 – Digital Economy | Lecture 4
- How information, technology, and AI shape buying decisions

Why Consumer Choice Matters

- Consumer choice drives markets and competition
- Digitalization has changed how people decide
- Information is now abundant, fast, and cheap
- Digital tools influence every stage of buying
(Need → Search → Compare → Buy → Review)

Before, you pick a toy from one shop; now, all toy shops come to your phone!

Consumer Choice Before Digitalization

- Limited information
- Physical visits required
- High search cost
- Dependence on sellers
- Nepal Scenario: Visiting multiple shops in New Road to buy a phone

Consumer Choice After Digitalization

- Instant access to product information
- Online comparisons of price, quality, and reviews
- Platforms replace shopkeepers as information providers
- Nepal Scenario: Buying a phone on Daraz by comparing sellers and ratings

Reduces time and effort for decisions

"Instead of visiting 5 toy shops, you see all toys on a tablet."

Digitalization & Consumer Behavior

- Consumers rely on ratings and reviews
- Decisions influenced by online feedback
- Example: Prefer products with higher ratings even if slightly expensive

Online information strongly affects purchase intention and trust

Information Abundance

- Platforms provide reviews, videos, specifications, comments
- Consumers face information explosion
- Positive: Better awareness
- Negative: Confusion

Too much info can reduce decision quality

Information Abundance – Scenario

- Booking a hotel in Pokhara with 100+ options
- Consumers rely on 'Top Rated' or 'Recommended'
- Leads to bounded rationality

Reduced Search Costs

- Search cost = time + effort + money to find info
- Digital tools reduce search cost with filters, sorting, AI recommendations
- Nepal Example: Foodmandu filters restaurants by location, price, rating

Lower search costs increase online purchase frequency

Bounded Rationality

- Consumers aim for 'good enough' decisions
- Do not analyze every detail
- Example: Choosing first 4.5 ★ product
- Nepal Scenario: Parents buying school bags online choose 'best seller'

Simplifies decision-making under information overload

Information Overload

- Too many options cause decision fatigue and anxiety
- Can delay or prevent purchases
- Nepal Scenario: Laptop buyers abandon carts after too much comparison

Overload negatively affects buying confidence

Algorithms & Recommendations

- Algorithms track clicks, searches, purchases
- Predict preferences and guide product visibility

Personalized recommendations strongly influence consumer choice

Recommendation Scenario

- Search sports shoes once → multiple ads and suggestions appear online
- Repeated exposure increases likelihood of purchase
- Nepal Scenario: Shoes recommended across Daraz, Facebook, YouTube

Algorithmic Bias

- Algorithms prioritize platform profits and sponsored products
- Sponsored products appear first even if cheaper/better alternatives exist
- Nepal Example: Sponsored sellers on Daraz

Algorithms are not neutral decision-makers

E-Commerce Example (Nepal)

- Platforms: Daraz & SastoDeal
- Ratings influence trust, reviews affect perceived quality
- Discounts and flash sales influence urgency

e-WOM strongly impacts purchase decisions

E-WOM

- e-WOM - *electronic word of mouth*, meaning **reviews, comments, ratings, or recommendations shared online.**
- Imagine you want a chocolate brand.
- You check a website where 100 people rated it 5  .
- You trust it more than a chocolate you've never heard of.
- You're influenced by what others wrote → that's e-WOM in action.

E-WOM

- Buying rice on Daraz or a mobile phone on SastoDeal.
- You see one product with 4.8 ★ rating and 50 reviews, another with 4.0 ★ and 10 reviews.
- Most people will choose the 4.8 ★ product, **even if the price is slightly higher.**

people trust online reviews almost as much as personal recommendations.

Positive e-WOM increases sales, negative e-WOM can reduce demand.

Travel Booking Example

- Apps: Booking.com, Agoda
- AI suggests cheapest + popular hotels
- Saves time but may ignore smaller local hotels
- Nepal Scenario: Booking Kathmandu–Pokhara flights

Finance App Example

- Apps: eSewa, Khalti
- Suggest loans, insurance, investments based on user data
- Risk: Consumers may accept offers without understanding

Personalized offers influence financial decisions

Changing Consumer Expectations

- Expect fast delivery, transparent pricing, easy returns
- Nepal Scenario: Food delivery delays lead to app switching

Digitalization raises service expectations

Positive Effects on Consumers



- Better information and awareness
- Lower search costs
- Convenience and wider choice

Digitalization empowers consumers

Negative Effects on Consumers

- Over-reliance on algorithms
- Privacy risks and data misuse
- Manipulated choices

Blind trust in digital systems can harm consumers

Power Shift in Digital Markets

- Platforms control visibility
- Algorithms guide demand
- Consumers follow recommendations
- Key Question: Who really controls choice — consumer or platform?

Summary

- Digital markets show many options
- AI helps choose faster
- Too much choice can confuse
- Smart consumers think, compare, and question